



Project management

Besides day-to-day activities, a business may have projects that are one-time, temporary, specific pieces of work. Projects need to be managed to deliver on time, within budget, and to specifications.

How it works

The process of project management takes a complex project from start to finish. It requires a different set of knowledge, experience, and skills from a mainstream operation because the goals set up have to be achieved within defined limitations. These constraints include scope, time, quality, and budget. A project team might include people from different organizations, diverse disciplines, and multiple locations. Successful project management

involves not only overseeing the people working towards the particular objective, but also managing the risks, schedule, relationships, individual and team input, range of stakeholders with vested interests in the project, and financial resources.

Effective project management is increasingly viewed as a strategic competence (*see p.85*) for any business because it enables the introduction of new products, new methods, and new technology.



NEED TO KNOW

Project management tools

There are many different project management tools, particularly for software development. One tool is PRINCE2®, a process-based approach to project management within a clear framework. The emphasis is on dividing the project into manageable and controllable stages with a defined structure for the project management team.

Steps in project management

There are many workable project management systems, using various definitions for the key stages, all of which are encompassed in five main elements.



Initiation

- › Project charter, including business case, objective, scope, budget, deliverables, and schedule
- › Roles and responsibilities
- › Resource allocation



Planning

- › Detailed plan of work
- › Critical path analysis
- › Risks



Execution

- › Coordinating people and resources
- › Quality assurance
- › Communication to team and stakeholders